Candlesticks, support and resistance, volume, and trends — no jargon.

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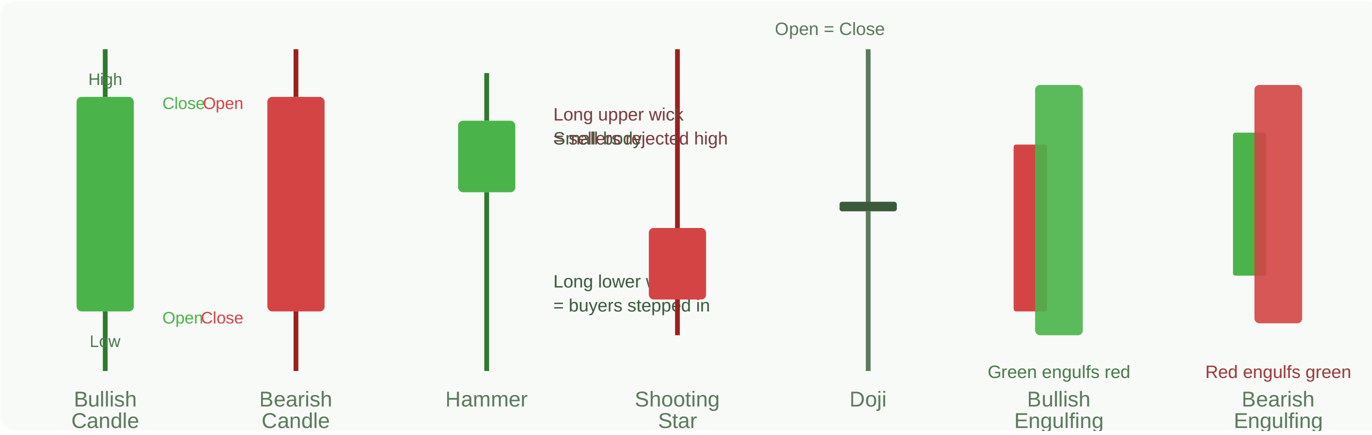
Every trading decision begins with reading a chart. A price chart is a visual record of every transaction that occurred in a stock — every buyer and seller, every moment of fear and greed. Learning to read price charts correctly is the single most foundational skill in technical trading.

CANDLESTICK TYPES — VISUAL REFERENCE



FOUNDATION 1

What a Candlestick Shows

Each candlestick represents a time period and records four prices: the open, the high, the low, and the close. A green candle means the stock closed higher than it opened — buyers were in control. A red candle means it closed lower — sellers were in control. The thin lines (wicks) above and below the body show the extreme high and low prices reached during that candle.

FOUNDATION 2

Support and Resistance Levels

Support is a price level where buyers have historically stepped in and stopped a decline — the market has decided this price has value. Resistance is where sellers have historically stopped a rally. These levels are the most important reference points on any chart. A broken support level often becomes new resistance, and broken resistance often becomes new support.

BULL FLAG — CANDLESTICK VISUAL

SUPPORT AND RESISTANCE — CANDLESTICK VISUAL

FOUNDATION 3

Reading Volume

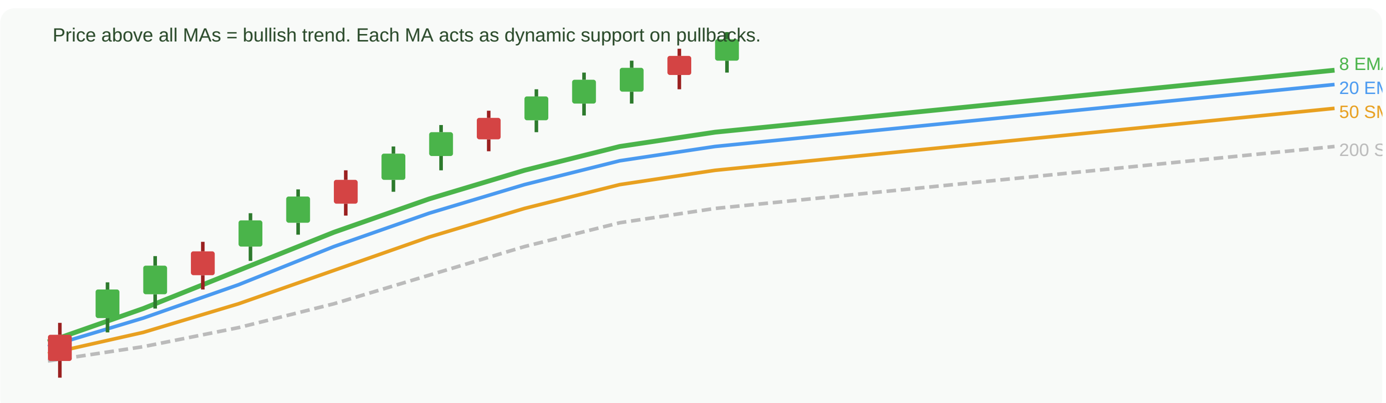
Volume is the total number of shares traded during a period. High volume on an upward move means conviction. High volume on a downward move means aggressive selling. Low volume on any move signals weak conviction and a higher likelihood the move reverses. Never trust a breakout not accompanied by significantly above-average volume.

FOUNDATION 4

Identifying Trends

An uptrend is defined by a series of higher highs and higher lows — each peak is higher than the previous, and each pullback holds above the prior low. A downtrend is lower highs and lower lows. A range-bound market moves sideways between a defined support and resistance level. Identify which environment you are in before placing any trade.

MOVING AVERAGES — CANDLESTICK CHART WITH MAS



FOUNDATION 5

Moving Averages

A moving average calculates the average closing price over a set number of periods. The 8 EMA, 20 EMA, and 50 SMA are most widely used. Price above a moving average = bullish. Price below = bearish. They act as dynamic support in uptrends and dynamic resistance in downtrends.

MOVING AVERAGE QUICK REFERENCE

MOVING AVERAGE	PERIOD	PRIMARY USE
8 EMA	8-period exponential	Intraday momentum — is price in short-term trend?
20 EMA	20-period exponential	First pullback target in trending stocks
50 SMA	50-period simple	Intermediate trend direction and support/resistance
200 SMA	200-period simple	Bull vs bear market filter — above = bullish overall bias

> **TST CORE PRINCIPLE**
>
> Always start your chart analysis on the daily timeframe to understand the larger context. Then drop to the intraday chart for your entry timing. Trading intraday without knowing what the daily chart looks like is like navigating without a map.

Full chart reading curriculum covered in the TST Academy Beginner section at topstocktrading.com

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